

Management is art or science?

Principles

“Proverbs”

Evolution

Spoils System vs Rule of Law

Pendleton Act (1883) – Merit based Jobs

Hoover Commission –

(1947-49) Improve organizational efficiency

(1953-55) Reduce 'Red Tape'.

Evolution

Max Weber (1921-22)

- Hierarchy of Authority – Power flowing downwards.
- Division of labour – tasks are broken down among officials specializing in their specific area.
- Formal Rules & Regulations
- Impersonality – decisions based on objectives, NOT feelings or relationships.
- Formal Selection – Employment based on technical competence.
- Written Records

Evolution

Woodrow Wilson (US President 1913-21)

- Public Administration a solution to spoils system.
- Science of Administration - French & German perspectives.
- “It is more difficult to run a constitution than to frame one.”
- Advocated civil service based on merit.
- Government must administer resources as a good trustee.

Indian Perspective

- Govt. of India Act 1935
 - Federal Structure
 - Bicameral Legislature
 - New Institutions – RBI, Central & State PSCs, Federal Court.
 - Division of Powers

Indian Perspective

Indian Constitution

- Rule of Law – UK
- Fundamental Rights – USA
- Directive Principles – Ireland
- Strong Center – Canada
- Concurrent List – Australia
- Fundamental Duties – USSR
- Emergency Provisions - Germany

The Evolution of Management Thought

Frederick Taylor and Scientific Management (The Machine Model of Man)

- Father of Scientific Management
- Principles of Scientific Management (1911) – Workers were ‘soldiering’ - Time & Motion study – “One best way” of doing things.
- Functional Foremanship – line and staff.
- Reduced work force from 500 to 140 without loss of production.

Frank & Lillian Gilberth (1900) – Time & Motion Studies.

The Evolution of Management Thought

Principles of Scientific Management

- Science of Work
 - What constitutes a fair day's work.
- Scientific selection & progressive development of the workman
 - Aptitude, nature & performance of the worker.
 - Systematically training the worker.
- Bringing together science of work and scientifically trained men
 - The executive responsibility.
- Division of work and responsibility between management & workers
 - Equal responsibility between the management and the workers.

- Functional Foremanship
 - Planning Functions
 - Order of work & Route clerk
 - Instruction card clerk
 - Time & cost clerk
 - Shop disciplinarian
 - Execution Functions
 - Gang-boss
 - Repair-boss
 - Speed-boss
 - Inspector
- Mental Revolution – Mutual prosperity through mutual cooperation.

The Evolution of Management Thought

Henri Fayol, Father of Modern Management Theory

- 14 principles of management.
- Authority and responsibility
- Unity of command
- Scalar chain
- Esprit de corps – “in union there is strength”
- POCCC – planning, organizing, commanding, coordinating, and controlling.
- Gangplank – level jumping

The Evolution of Management Thought

Elton Mayo and F.J. Roethlisberger and the Hawthorne Studies (1924-1932)

- Pioneers in Human Relations approach
- Illumination Studies at Western Electric
- Improvement in productivity due to worker morale, satisfactory interrelationships, and effective management.

Earlier Experiments

- Studied textile mill workers
- Each worker taking care of 10 to 14 mills
- Action taken
 - introduced 3-4 rest periods every day
 - Introduced bonus system for extra work
 - Shutting down the mills for 3-4 times every day

Hawthorne Studies

- The Great Illumination (1924-27)
- 2 groups of 6 female workers
 - Level of illumination reduced but output increased
 - Output increased despite withdrawal of breaks
 - Better social relations within the group and the supervisor
 - Views of workers were considered on the changes

Social Organization (1931-32)

- 3 groups of workmen in a bank wiring experiment
- Rate buster – one should not turn out too much work
- Chesler – one should not turn out too little work
- Squealer – one should not tell the supervisor anything detrimental
- Inspector – should not act officious

The Evolution of Management Thought

Herbert Simon

- Decision Making - Bounded Rationality – not ‘optimizing’, but ‘satisficing’.
- Efficiency – shortest path and cheapest means in achieving the desired goals.

Decision-Making

- Decision-Making is defined as a course of action from among alternatives.
- Decision-Making Process:
 - Problem identification
 - Identifying alternatives
 - Evaluating alternatives
 - Choosing an alternative
 - Implementation

Decision-Making

- Limited or “Bounded” Rationality – limitations of information, time constraints, uncertainty.
- In order to play it safe, we make ‘satisficing’ decisions.
- **Satisficing** – Picking a course of action that is satisfactory or good enough under the circumstances.
- Heuristics in Decision-Making
- Heuristics (thumb-rules) allow complex judgements to be made more simply.

Decision-Making

Quantitative and Qualitative Factors

- **Quantitative Factors** – Factors that can be measured in numerical terms such as time or various fixed and operating costs.
- **Intangible or qualitative factors** – Factors that are difficult to measure numerically.
- **Marginal Analysis** - Comparing the additional revenue and the additional cost arising from increasing output.
- **Cost-effective analysis** – seeks the best ratio of benefit and cost.

Decision-Making

Selecting an alternative: 3 approaches

- 1. Experience** – Experienced managers take their earlier successes and mistakes as guides to the future.
- 2. Experimentation** – A firm may test a new product in a certain market before expanding its sale nationwide.
- 3. Research and Analysis** – Verifying the cause and effect relationships.

Decision-Making

Creativity and Innovation

The Creative Process – 4 overlapping and interacting phases

1. Unconscious scanning – vaguely absorbing the problem in the mind.
2. Intuition – Connects the conscious with the unconscious.
3. Insight – it is the result of hard work.
4. Logical formulation or verification – insight needs to be tested through logic or experiment.

Decision-Making

Brainstorming – to improve problem solving by finding new and unusual solutions.

- The rules of Brainstorming are:
 - No ideas are ever criticized.
 - The more radical the ideas are, the better.
 - The quantity of idea production is stressed.
 - The improvement of ideas by others is stressed.

Decision-Making

Group Discussion and its limitations

- Participants might not express, due to fear of being ridiculed.
- Higher-level managers might inhibit lower-level managers from expressing their views.
- Pressures to conform discourages the expression of deviant opinions.

Management and Society

- The social responsibility of managers
- Corporate social responsibility – company's actions on society.

Ethics

Ethics – dealing with what is good and bad, and with moral duty and obligation.

Business ethics – concerning with truth and justice in the context of commercial enterprise.

Ethical Theories

- Utilitarian theory – plans or actions should produce greatest goods for greatest number of people.
- Theory based on rights – all people have basic rights (Fundamental rights).
- Theory of justice – decisions should be fair and equal and impartial.
- Whistle-blowing – Making known to outside agencies unethical company practices.